Investing, Hedge-fund Style

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Steinhardt Partners began in the euphoric period of the late 1960s, reflecting in some sense the speculative nature of those times. It was one of many "hedge funds"—an emotionally charged term at that time. The term was used to describe go-go type, speculative entities, mostly employing a partnership structure that typically dealt in speculative stocks and had the flexibility to use leverage and execute short sales. In some respects, we, at that time, typified the character of such entities. I am somewhat embarrassed to say that the single stock in which we have made the most money (to this day) was a company that went bankrupt within several years after our ownership of it—King Resources.

Over the years, most hedge funds have either disappeared, diminished in size, or adopted the more traditional forms of investment management. But although there have been fairly substantial changes in the personnel at Steinhardt Partners over the years, and our investment style at any point in time is often reflective of the "game in town," there has been and continues to be a consistency in the broad investment approach, as well as the basic structure of the firm. Those characteristics that I think are distinct to our type of investment management are outlined below. There are nine areas that I think are important.